

all the common stock of the Chicago, Rock Island and Pacific Railway Company and about 60% of the capital stock of the St. Louis and San Francisco Railway Company. Against these shares the two holding companies issued large amounts of collateral trust bonds, preferred stock and common stock. In 1909 the stock of the St. Louis and San Francisco was sold. In 1915 the Rock Island Company and its intermediate subsidiary both went into bankruptcy; the stock of the operating company was taken over by the collateral trust bondholders; and the holding company stock issues were wiped out completely.

Companies	A. Control, %	B. Equity, %
Holding companies:		
The Vaness Co.	80.0	27.7
General Securities Corp.	90.0	51.8
Geneva Corp.	100.0	27.7
Alleghany Corp.	41.8	8.6
The Chesapeake Corp.	71.0	4.1
The Pere Marquette Corp.	100.0	0.7
Virginia Transportation Corp.	100.0	0.8
The Pittston Co.	81.8	4.3
Railroad Companies:		
The New York, Chicago and St. Louis R.R. Co.	49.6	0.7
The Chesapeake and Ohio Railway Co.	54.4	1.0
Pere Marquette Railway Co.	48.3	0.6
Erie Railroad Co.	30.8	0.6
Missouri Pacific Railroad Co.	50.5	1.7
The Hocking Valley Railway Co.	81.0	0.2
The Wheeling and Lake Erie Railway Co.	53.3	0.3
Kansas City Southern Railway Co.	20.8	0.9

The ignominious collapse of this venture was accepted at the time as marking the end of "high finance" in the railroad field. Yet some ten years later the same unsound practices were introduced once again, but on a larger scale and with correspondingly severer losses to investors. It remains to add that the Congressional investigation of railroad holding companies instituted in 1930 had its counterpart in a similar inquiry into the finances of the Rock Island Company made by the